Investment Committee brief

CONFIDENTIAL - SYNTHETIC

IC VIEW

Conditional go for diligence and negotiation; no-go for unconditional signing or closing until consent, earnings, debt, tax and IT-resilience conditions are satisfied.

Transaction and thesis

Transaction: Synthetic IC assumption only: acquisition of 100% of the shares of Larkspur Transit Analytics Limited, including the assets and liabilities recorded for that entity. No carve-outs or excluded liabilities have been confirmed.

Thesis: Synthetic IC thesis only: acquire a recurring-revenue Irish transport-analytics business for its customer relationships and operating platform. The thesis requires supportable earnings, retained material customers and quantified debt/tax exposure. Unobtained material consents, unsupported earnings adjustments or unbounded debt/tax liabilities require a no-go, price change or contractual protection.

Headline financial reconciliation

- FIN-002: The EUR 180,000 transformation add-back is unsupported in the room; the management-reported unadjusted YTD EBITDA is EUR 1,230,000, 12.8% below reported adjusted EBITDA. [SRC-0012, p. 1] [SRC-0004, sheet “Request List”, cell C5]
- FIN-003: The submitted working-capital formula is wrong: it reports EUR -835,000 instead of a recomputed point-in-time net working-capital snapshot of EUR 830,000, a EUR 1,665,000 variance. The corrected snapshot is not a normalized completion-accounts peg. [SRC-0027, sheet “Calculation”, cell B9] [SRC-0027, sheet “Calculation”, cell B10] [SRC-0027, sheet “Calculation”, cell D9]
- FIN-005: Identified debt and debt-like items total EUR 2,220,000 before cash, including EUR 290,000 HP and a EUR 120,000 on-demand director balance excluded from management's loan summary. A non-contemporaneous arithmetic offset against the latest ledger cash identified is EUR 1,260,000; this is not completion-date net debt or proof that cash is unrestricted. [SRC-0010, sheet “Loans”, cell C6] [SRC-0006, sheet “HP”, cell C6] [SRC-0017, paragraph 10] [SRC-0026, sheet “Trial Balance”, cell C4] [SRC-0009, p. 1] [SRC-0009, p. 2]
- COMM-001: Evidence-backed group normalization raises Mosaic Arc Group to 28.2% of FY2025 revenue and 30.7% of 2026 YTD revenue; the separately named customers should be treated as one concentration exposure. [SRC-0018, sheet “Revenue”, cell D6] [SRC-0018, sheet “Revenue”, cell D7] [SRC-0038, p. 1] [SRC-0039, p. 1]
- COMM-005: After evidence-backed group normalization, the top two exposures represent 51.9% of full-year and 55.6% of current-period revenue; the top three represent 71.8% and 75.8%, respectively. [SRC-0018, sheet “Revenue”, cell B6] [SRC-0018, sheet “Revenue”, cell B7] [SRC-0018, sheet “Revenue”, cell B4] [SRC-0018, sheet “Revenue”, cell B5] [SRC-0018, sheet “Revenue”, cell C6] [SRC-0018, sheet “Revenue”, cell C7] [SRC-0018, sheet “Revenue”, cell C4] [SRC-0018, sheet “Revenue”, cell C5]
- TAX-001: The Rev2 tax response is demonstrably wrong: a 2025-P2 VAT amendment increased payable VAT by EUR 8,000, although Rev2 states that no VAT returns were amended. The tax trial balance also carries a EUR 182,000 VAT-control balance that the payment-status evidence does not reconcile. [SRC-0083, p. 1] [SRC-0084, p. 1] [SRC-0079, sheet “Responses”, cell B5] [SRC-0077, p. 1] [SRC-0081, sheet “Tax TB”, cell B6]
- TAX-002: Net ROS cash of EUR 401,700 arithmetically equals the EUR 389,200 return plus EUR 12,500 late-amendment charge, but the return does not reconcile to the EUR 178,625 annual computation or EUR 348,200 trial-balance tax figure. This equality does not prove that the cited cash entries settled the cited assessment. [SRC-0074, p. 1] [SRC-0071, p. 1] [SRC-0072, p. 1] [SRC-0073, p. 1] [SRC-0063, p. 1] [SRC-0026, sheet “Trial Balance”, cell C16] [SRC-0033, p. 1]

Most material findings

- FIN-002 / Financial: The EUR 180,000 transformation add-back is unsupported in the room; the management-reported unadjusted YTD EBITDA is EUR 1,230,000, 12.8% below reported adjusted EBITDA. [SRC-0012, p. 1] [SRC-0004, sheet “Request List”, cell C5]
- FIN-003 / Financial: The submitted working-capital formula is wrong: it reports EUR -835,000 instead of a recomputed point-in-time net working-capital snapshot of EUR 830,000, a EUR 1,665,000 variance. The corrected snapshot is not a normalized completion-accounts peg. [SRC-0027, sheet “Calculation”, cell B9] [SRC-0027, sheet “Calculation”, cell B10] [SRC-0027, sheet “Calculation”, cell D9]
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- COMM-001 / Commercial: Evidence-backed group normalization raises Mosaic Arc Group to 28.2% of FY2025 revenue and 30.7% of 2026 YTD revenue; the separately named customers should be treated as one concentration exposure. [SRC-0018, sheet “Revenue”, cell D6] [SRC-0018, sheet “Revenue”, cell D7] [SRC-0038, p. 1] [SRC-0039, p. 1]
- COMM-005 / Commercial: After evidence-backed group normalization, the top two exposures represent 51.9% of full-year and 55.6% of current-period revenue; the top three represent 71.8% and 75.8%, respectively. [SRC-0018, sheet “Revenue”, cell B6] [SRC-0018, sheet “Revenue”, cell B7] [SRC-0018, sheet “Revenue”, cell B4] [SRC-0018, sheet “Revenue”, cell B5] [SRC-0018, sheet “Revenue”, cell C6] [SRC-0018, sheet “Revenue”, cell C7] [SRC-0018, sheet “Revenue”, cell C4] [SRC-0018, sheet “Revenue”, cell C5]
- LEGAL-001 / Legal/contractual: The operative Harbourlight contract requires prior written customer consent following a supplier change of control, the amendment preserves that clause, and consent has not been requested. [SRC-0037, p. 1] [SRC-0034, p. 1] [SRC-0093, p. 1]
- LEGAL-007 / Legal/contractual: The supplied contractor form contains no express IP assignment, while the room identifies an active contractor population; contractor-created IP chain of title is not established. [SRC-0042, p. 1]
- IT-001 / IT: IT resilience is not evidenced to an acquisition standard: there is no contractual RTO, witnessed disaster-recovery test, penetration-test report or independent assurance report. [SRC-0055, p. 1] [SRC-0097, paragraph 7] [SRC-0099, paragraph 7]
- IT-003 / IT: An unredacted employee workbook in the room contains work-email, personal-email and government-identifier-like fields; access, purpose, retention and secure-transfer controls are not evidenced. [SRC-0095, sheet “Employees”, cell B2] [SRC-0095, sheet “Employees”, cell D3] [SRC-0095, sheet “Employees”, cell E3] [SRC-0095, sheet “Employees”, cell F3]
- TAX-001 / Tax: The Rev2 tax response is demonstrably wrong: a 2025-P2 VAT amendment increased payable VAT by EUR 8,000, although Rev2 states that no VAT returns were amended. The tax trial balance also carries a EUR 182,000 VAT-control balance that the payment-status evidence does not reconcile. [SRC-0083, p. 1] [SRC-0084, p. 1] [SRC-0079, sheet “Responses”, cell B5] [SRC-0077, p. 1] [SRC-0081, sheet “Tax TB”, cell B6]
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Go/no-go conditions

- FIN-002: require price assumptions, earn out, warranty, further diligence and completion of the finding's stated action.
- FIN-003: require price assumptions, working capital mechanism, warranty and completion of the finding's stated action.
- FIN-005: require price assumptions, escrow, consent, closing condition and completion of the finding's stated action.
- COMM-001: require price assumptions, earn out, escrow, consent and completion of the finding's stated action.
- COMM-005: require price assumptions, earn out, escrow, consent and completion of the finding's stated action.
- LEGAL-001: require consent, closing condition, escrow, price assumptions and completion of the finding's stated action.
- LEGAL-007: require closing condition, warranty, indemnity, escrow and completion of the finding's stated action.
- IT-001: require closing condition, escrow, warranty, indemnity and completion of the finding's stated action.
- IT-003: require closing condition, warranty, indemnity, escrow and completion of the finding's stated action.
- TAX-001: require tax indemnity, warranty, escrow, further diligence and completion of the finding's stated action.
- TAX-002: require tax indemnity, escrow, warranty, price assumptions and completion of the finding's stated action.

Price/structure protections

- Price assumptions: FIN-002, FIN-003, FIN-005, COMM-001, COMM-005, LEGAL-001, TAX-002.
- Earn out: FIN-002, COMM-001, COMM-005.
- Warranty: FIN-002, FIN-003, LEGAL-007, IT-001, IT-003, TAX-001, TAX-002.
- Further diligence: FIN-002, TAX-001.
- Working capital mechanism: FIN-003.
- Escrow: FIN-005, COMM-001, COMM-005, LEGAL-001, LEGAL-007, IT-001, IT-003, TAX-001, TAX-002.
- Consent: FIN-005, COMM-001, COMM-005, LEGAL-001.
- Closing condition: FIN-005, LEGAL-001, LEGAL-007, IT-001, IT-003.
- Indemnity: LEGAL-007, IT-001, IT-003.
- Tax indemnity: TAX-001, TAX-002.

Critical unanswered questions

- FIN-002: No adjustment support or ledger-to-management reconciliation has been supplied; neither the add-back nor the unadjusted management figure is independently verified.
- FIN-003: A monthly bridge, seasonality analysis, account-level SPA definition and agreed normalizations are still required before setting a peg.
- FIN-005: No completion-date lender statements, payoff evidence or restricted-cash analysis is available, and the cash period differs from the debt schedules.
- COMM-001: Confirm ultimate parent, billing entities, VAT numbers, cross-defaults and renewal dates for every group member, then rerun concentration on collected revenue and gross profit.
- COMM-005: Confirm renewal, termination, pricing, consent and service status for each top exposure and refresh concentration on collected revenue and gross profit.
- LEGAL-001: Counsel should confirm the contemplated transaction triggers the clause, prepare a contract-by-contract consent matrix and obtain unconditional written consent before completion.
- LEGAL-007: Signed individual agreements and a contractor-to-deliverable register are absent.
- IT-001: Commission an independent penetration test and witnessed restore/DR test; agree contractual RTO/RPO, remediate critical findings and deliver the final reports before completion.
- IT-003: The room does not provide an access log, lawful-basis assessment, retention record or confirmation of deletion from prior recipients.
- TAX-001: Tax advisers should obtain ROS filing receipts and account statements for every period, reconcile original/amended returns to the ledger and document amendment causes and settlement.
- TAX-002: The source set does not establish why the computation, ledger and filed return differ or link the cash entries—including the separate payment confirmation—to a specific assessment. The additional unlinked payment is EUR 210,000.

Immediate next actions

- Obtain the general-ledger-to-statutory bridge for each year and monthly 2025/2026 management accounts, then rerun margin and cash-conversion analysis.
- Obtain the governing SLA, incident timestamps, credit calculation, settlement correspondence, subsequent service performance and written renewal status.
- Counsel should produce an executed-document chronology, confirm signatures/effective dates and map the amended exposure against insurance and open incidents.
- Run and evidence a time-bound restore and failover exercise, capture actual RTO/RPO, owners and defects, and approve a tested continuity plan.
- Obtain the complete incident register, root-cause analyses, SLA calculations, insurer notifications, remediation evidence and post-incident trend metrics.
- Reconcile monthly payroll submissions, payslips, employee master, contractor payments and the PAYE control balance through the latest completion date.